

Fast Food Industry



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Overview

- **Industry Background**
- Competitive Environment
- Government Regulation
- Trends
- Primary Pricing Strategies
 - Bundling
 - 2nd Degree Price Discrimination
 - Quantity Discounts
 - Versioning
 - Advertising
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 - Psychological Pricing
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- Upstate New York Case Study
- Recommendations

Fast Food Definition

- Pay before eating
- Limited service
- On-site, carry-out, drive-through consumption

Key Statistics Snapshot

Revenue

\$184.0bn

Annual Growth 05-10

0.4%

Annual Growth 10-15

2.5%

Profit

\$5.5bn

Wages

\$48.0bn

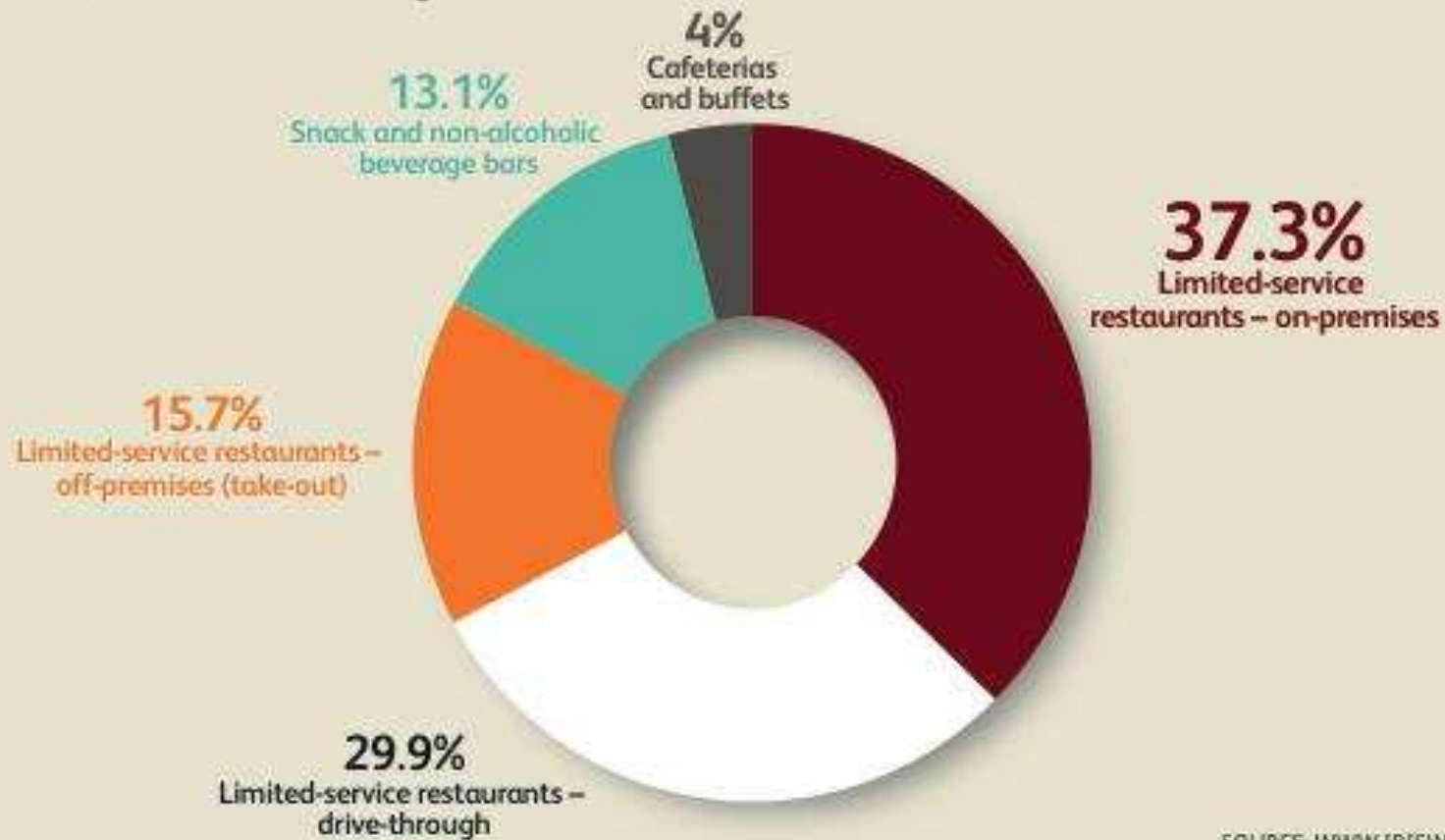
Businesses

300,645

Source: www.ibisworld.com

Industry Breakdown

Products and services segmentation (2010)



SOURCE: WWW.IBISWORLD.COM

Industry Performance

- Recession actually hurt fast food industry
 - Less disposable income
- But expected growth to 2015 of 2.5% to \$208.16 billion



Cost Structure

- Low profit margin (2-5% captured)
- Economies of scale for large players
- High level of labor intensity



Technology

- Medium level
- Reduce food wastage and preparation time
- Reduce need for human capital
- Less room for error
- Streamline ordering process



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Franchise Definition

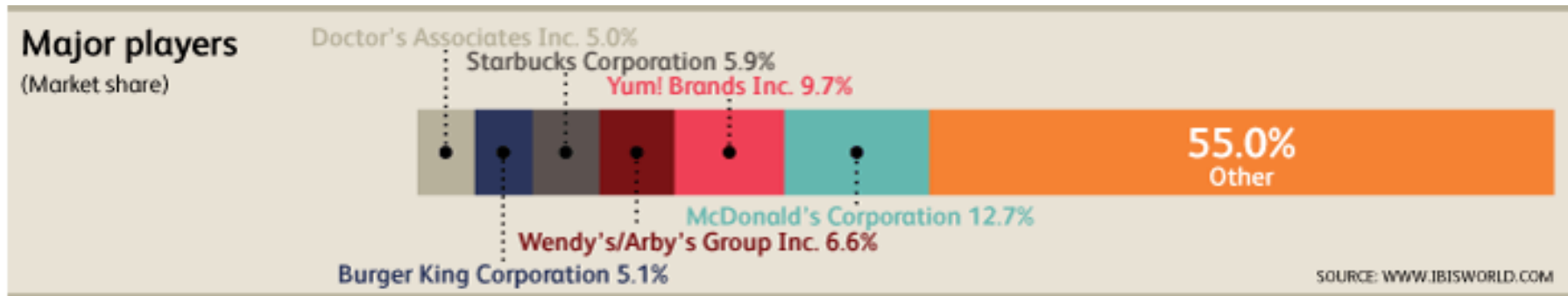
- Using another firm's successful business model
- Franchisor controls the business concept
- Franchisee purchases the license, but still seen as an independent merchant
 - Must pay the franchisor a royalty for the trademark and reimbursement for the training and advisory services given to the franchisee
 - Protected by the franchisor from any trademark infringement by third-parties

Non-Franchise Fast Food

- Remember definition: pay before you eat
- Single establishment
- Ex: Ma and Pa locally-owned fast food restaurants (sub shops, pizzerias, burger joints, etc)



Competitors



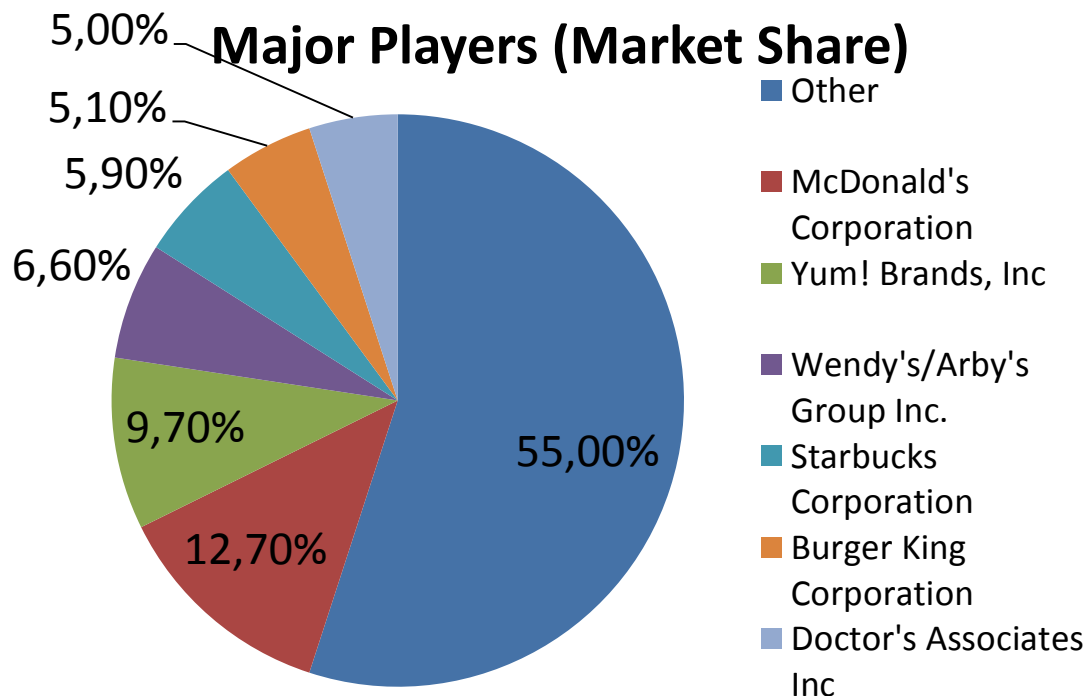
- 300,645 businesses total!
- Yum! Brands Inc
 - Brand names: KFC, Taco Bell, Pizza Hut, Long John Silver, and A&W
- Doctor's Associates
 - Brand name: Subway

Concentration Calculations

- Four-Firm Concentration Ratio (CR4)
 - McDonald's, Yum!, Wendy's/Arby's, Starbucks
 - 34.9%
 - Low
- Herfindahl-Hirschman Index (HHI)
 - 390
 - Extremely low
 - US Department of Justice considers anything below 1,000 to be a competitive marketplace

Concentration

- Concentration is low
 - A lot are small businesses
 - Although large franchises account for 65% of industry revenue



Data from www.ibisworld.com

Distribution of employer establishments by size

Employees	Percentage of total (%)
1-4	32.6
5-9	15.3
10-19	21.6
20-49	25.9
50-99	4.2
100-249	0.4
250-499	0.0
500-999	0.0
1,000-plus	0.0
Total	100.0

SOURCE: US CENSUS BUREAU COUNTY BUSINESS PATTERNS

Concentration Continued

- Concentration has been increasing
 - Wendy's and Arby's merger (2008)
 - Burger King bought out by a private equity firm 3G (2010)
 - Expected to continue to increase



Barriers to Entry

	Franchisor Company	Single Franchise	Local FF Restaurant
Competition	High	High	High
Concentration	Low	Low	Low
Capital Intensity	Medium	Low	Medium
Regulation & Policy	Heavy	Heavy	Heavy

- Overall low barriers
- Capital Intensity
 - Low for single franchise because the franchise agreement includes outfitting and equipment, training, and computer systems
 - Medium for others because they have to invest from scratch

Internal Competition

- Internal
 - Price-based
 - Location
 - Food quality and consistency
 - Style and presentation
 - New products
 - Variety
 - Service
 - Franchise operators vs. non-franchise



External Competition

- Fast Casual Dining
- Full-service restaurants offering take-out services
- Frozen restaurant meals at grocery stores



McDonald's Supply Chain Efficiency

- 3 Legged stool philosophy
- Small number of strategic suppliers
- Suppliers = partners
- Long term relationships
- Some open book costing



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Government Intervention

- Heavy and steady regulation
- Employee protection
- Health and sanitary laws
- Calorie counts on menus
- Banning toys in Happy Meals
- Banning trans fat – New York, NY
- Fast food ban – California

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Health Consciousness



Bk.com



Fitsugar.com

Product Expansion



Foodbeast.com



Wendysarbys.com

Joint Branding Formats



Changing Product Sizes



Calorieking.com

Ethnic Chain Restaurants



International Expansion



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Bundling

- A group of items are sold as a single unit at a discounted price
- Reduces heterogeneous demands to extract maximum consumer surplus (like 2nd degree PD)
- Ex: Value Menus – mixed bundling



Bundling

Data from three fast food restaurants
on Elmira Road in Ithaca, NY on April
14, 2011

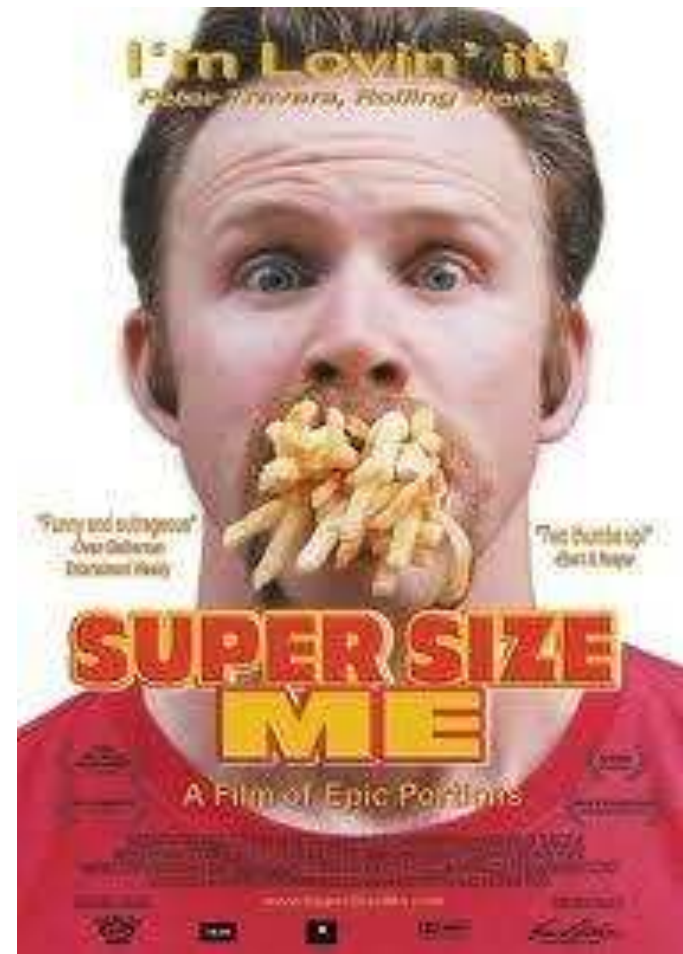
Company	Burger	Medium Drink	Medium Fries	Total Individually	Bundle	Difference
McDonald's	2.99	1.49	1.59	6.07	4.99	1.08
Burger King	3.49	1.79	2.09	7.37	6.09	1.28
Wendy's	3.29	1.49	1.79	6.57	5.78	0.79

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2nd Degree Price Discrimination: Quantity Discounts

- Bulk food discount by larger sizes or quantities of food
- S,M,L drink/fries; 5, 10, 20 chicken nuggets
- 69% discount at Wendy's going from small to large drink
- Super Size Me – public backlash



2nd Degree Price Discrimination: Versioning

TenderGrill Sandwich - \$4.99

Chick'n Crisp Sandwich - \$1.00



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Advertising:

Ad-to-Sales Ratio

- Depends on the type of product, advertising elasticity of demand, and the price elasticity of demand:
- $A/(P*Q) = E_A / |E_D|$
- Industry ad-to-sales ratio is low - homogeneous products and a high price sensitivity of consumers (from 2008 data)
- Fragmented industry

Company	Spending on Advertising (2008)	Revenue (2008) from IBISWorld	Advertising to Sales Ratio (%)
McDonald's	50,233,543	8,078,300,000	0.62
Burger King	4,249,735	2,455,000,000	0.17
Wendy's/ Arby's	26,456,680	1,822,800,000	1.45
Industry	329,342,510	184,766,700,000	0.18

Advertising

Burger King's:



Combative Advertising

- Shifts consumer preferences toward the advertising firm, but does not expand the category demand
- If the real differences between brands are modest, then combative advertising could just be undercutting profits

Advertising

Persuasive Advertising

- Alters consumers' tastes and creates perceived product differentiation, making demand for the firm's product more inelastic
- The company can therefore raise their prices, resulting in higher profits

Wendy's Square "Never Frozen" Burgers



Funny, but product differentiated?

- <http://www.youtube.com/watch?v=0eN9KP6lOZs>
- Less effective?

Product and Price Differentiation

- <http://www.youtube.com/watch?v=NV8anwJb3R8>
- More effective?

Advertising

Informative Advertising

- Reduce consumers' search costs
- Pro-competitive consequences if prices are advertised because consumers become more price sensitive



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3rd Degree Price Discrimination

- Charge different prices in easily identifiable submarkets, dependent on the geography and demographics of their consumers
- Charge more for their products in busy, metropolitan areas where competition is more intensive, customers have higher income, and they are selling at a higher volume
- i.e. New York City

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Psychological Pricing

- Retail prices often end in 9, 5, or 0 due to the theory that this drives greater demand
- Consumers ignore the least significant digits rather than doing proper rounding



Xanapus.com



Mediapost.com



Fastfood.oregister.com

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2nd Degree Price Discrimination: Coupons



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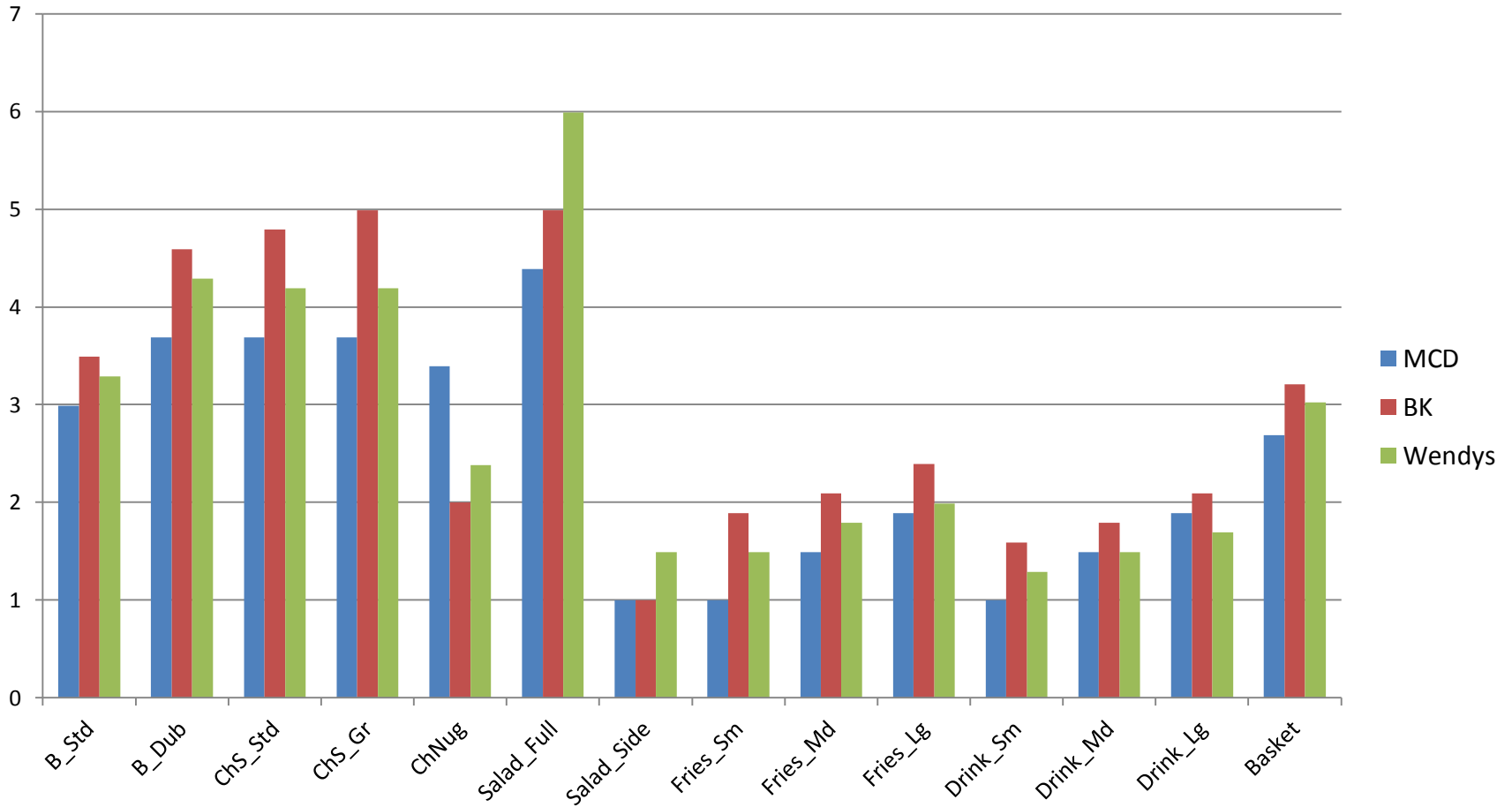
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Basket Good Comparison:

Individual Item

Items		MCD	BK	Wendys	Avg
Burger	Standard	2.99	3.49	3.29	3.25
Burger	Double	3.69	4.59	4.29	4.19
Chicken Sandwich	Standard	3.69	4.79	4.19	4.22
Chicken Sandwich	Grilled	3.69	4.99	4.19	4.29
Chicken Nuggets	Nuggets	3.39	2.00	2.38	2.59
Salad	Full	4.39	4.99	5.99	5.12
Salad	Side	1.00	1.00	1.49	1.16
Fries	Small	1.00	1.89	1.49	1.46
Fries	Med	1.49	2.09	1.79	1.79
Fries	Large	1.89	2.39	1.99	2.09
Drink	Small	1.00	1.59	1.29	1.29
Drink	Med	1.49	1.79	1.49	1.59
Drink	Large	1.89	2.09	1.69	1.89
Basket		31.6	37.69	35.56	34.95
		1	1.193	1.125	1.106

Basket Good Comparison: Individual Item

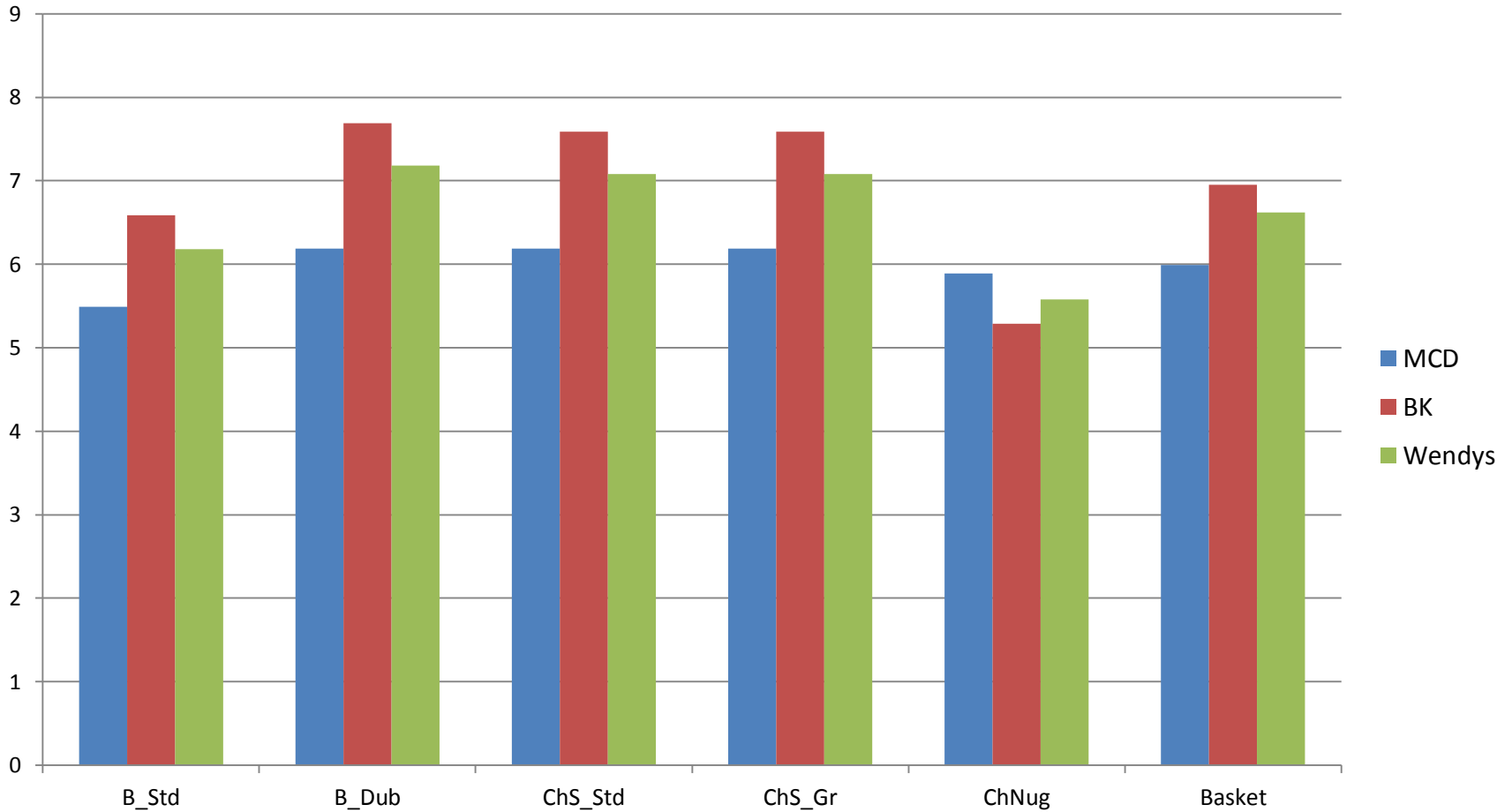


Basket Good Comparison:

Med Meal

Items		MCD	BK	Wendys	Avg
Burger	Standard	4.99	6.09	5.78	5.62
Burger	Double	5.69	7.19	6.78	6.55
Chicken Sandwich	Standard	5.69	7.09	6.68	6.48
Chicken Sandwich	Grilled	5.69	7.09	6.68	6.48
Chicken Nuggets	Nuggets	5.39	4.79	5.18	5.12
Combo	Med Upgrade	0.00	0.50	0.49	
Basket		27.45	32.25	31.1	30.26
		1	1.175	1.133	1.103

Basket Good Comparison: Med Meal

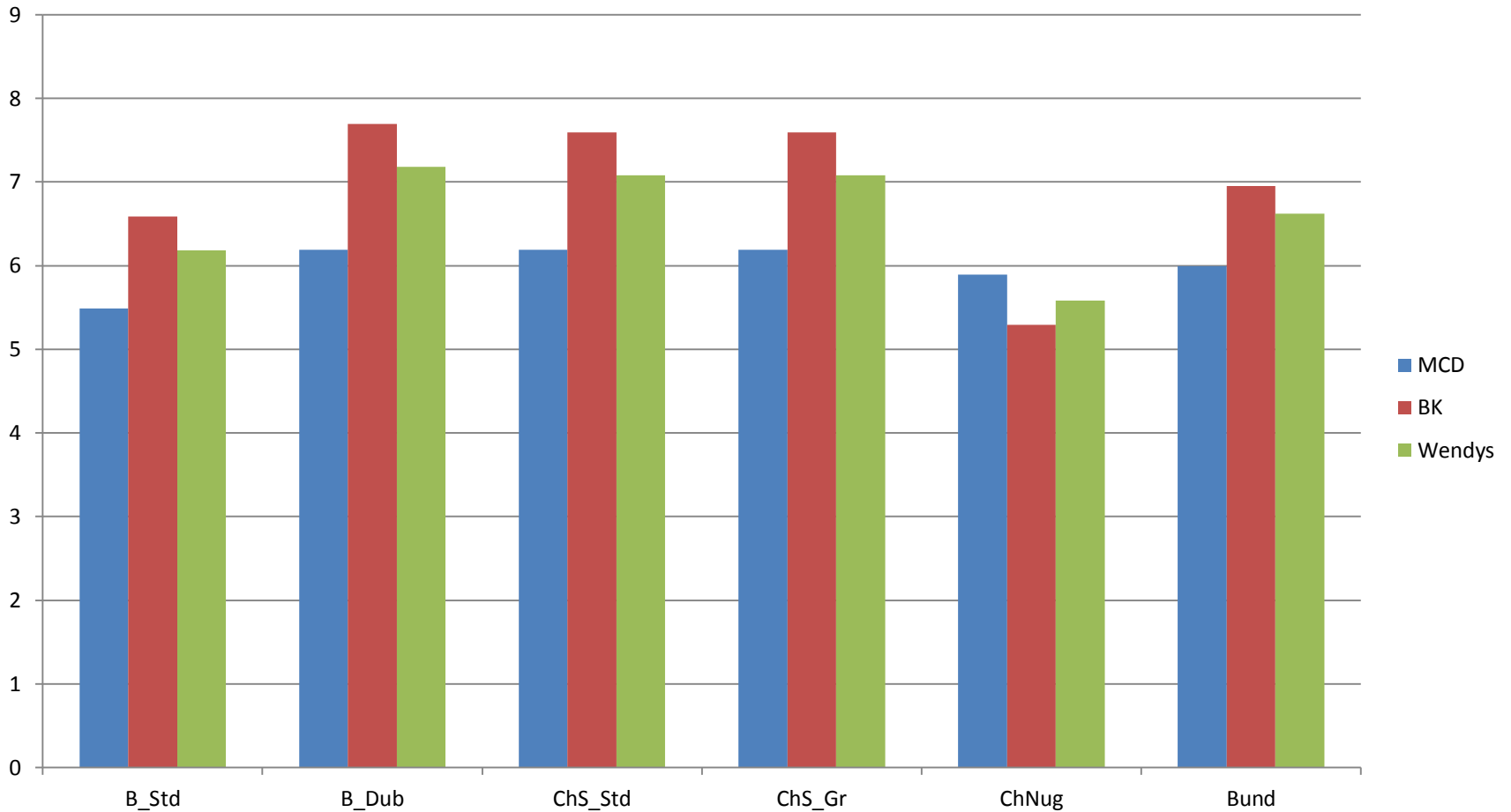


Basket Good Comparison:

Large Meal

Items		MCD	BK	Wendys	Avg
Burger	Standard	5.49	6.59	6.18	6.09
Burger	Double	6.19	7.69	7.18	7.02
Chicken Sandwich	Standard	6.19	7.59	7.08	6.95
Chicken Sandwich	Grilled	6.19	7.59	7.08	6.95
Chicken Nuggets	Nuggets	5.89	5.29	5.58	5.59
Combo	Lg Upgrade	0.50	1.00	0.89	0.79
Basket		29.95	34.75	33.1	32.6
		1	1.160	1.105	1.088

Basket Good Comparison: Large Meal



Fast Food Basket Summary

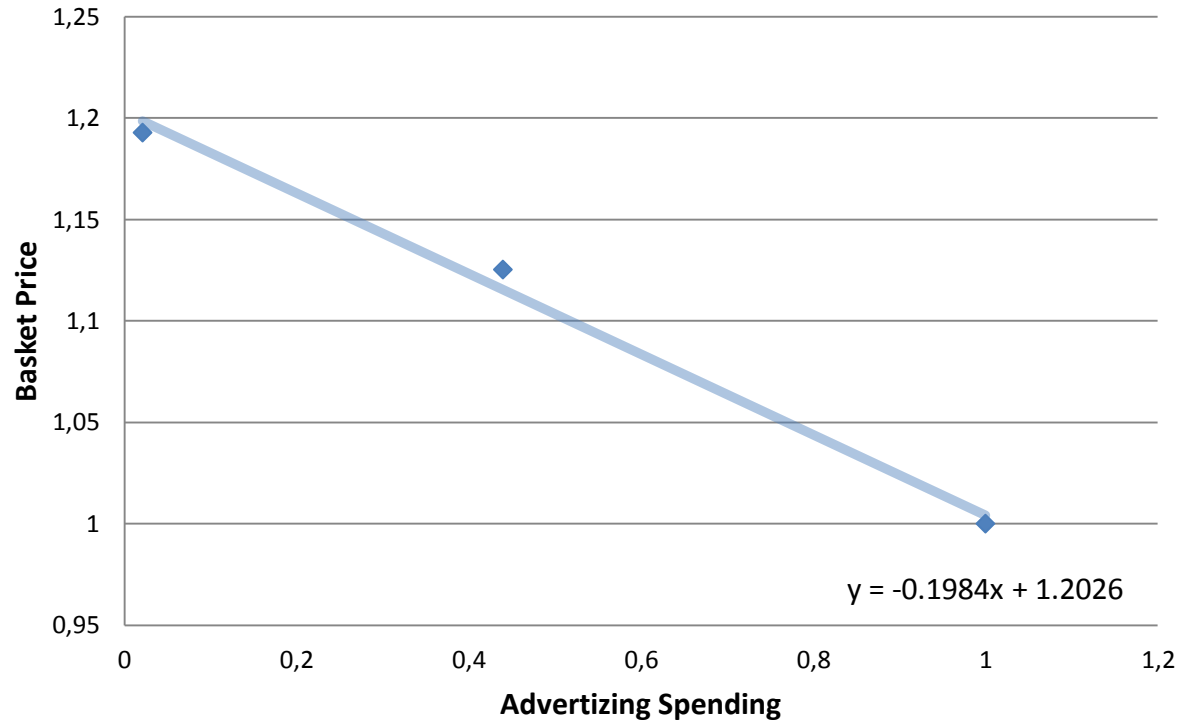
- McDonalds cheapest basket
 - BK basket 19% premium
 - Wendy's basket 13% premium
- No significant basket price difference by individual item or meal.

	MCD	BK	Wendys
Individual	100%	119%	113%
Med Meal	100%	117%	113%
Lg Meal	100%	116%	111%

Local Advertising: Rochester Market

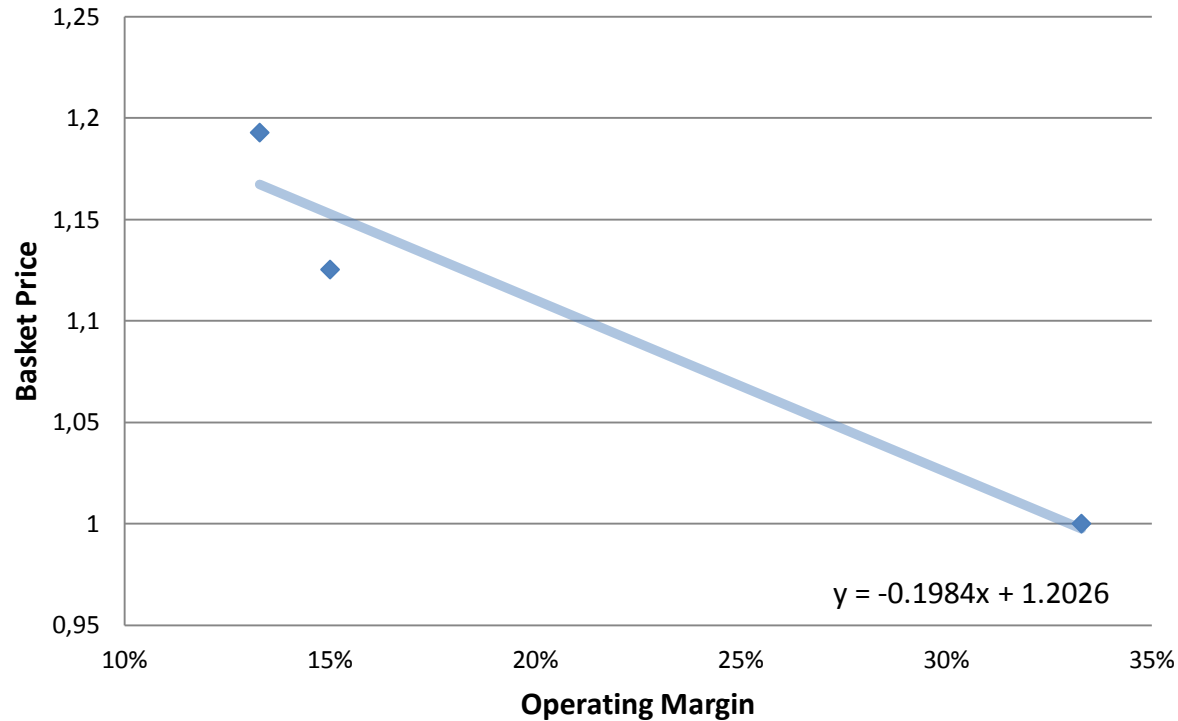
	Advertising Spending (Thousands \$/year)	% Total
McDonalds	13,730	47.78%
Wendys	6,033	20.99%
Burger King	293	1.02%
Total	28,737	

Local Advertising vs. Price



	MCD	BK	Wendys
Basket	1	1.192	1.125
Advertising	1	0.021	0.439

Operating Margin vs. Price



	MCD	BK	Wendys
Basket	1	1.192	1.125
Operating Margin Q2-10	33%	13.30%	15%

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Analyst Recommendations



Yahoo Finance

	MCD	Wendys
P/B	5.54	.91

- Wendy's Overweight (Buy)
 - Trading significantly discounted to pre-recession levels
 - Large room to improve operating margins with new management
 - High potential for revenue growth by leading new healthy options/small portions trends

Firm Recommendations

- Focus on product differentiation through combative advertising
- Consider mergers to raise market concentration (and therefore pricing power)
- If products are well differentiated (they should be!) consider raising price
- Limit persuasive advertising to innovative products (such as McCafe)





Questions??